

“to advise effectively, advisors must be guided by an accurate picture of the cognitive and emotional weaknesses of investors that relate to making investment decisions: their occasionally faulty assessment of their own interests and true wishes, the relevant facts that they tend to ignore, and the limits of their ability to accept advice and to live with the decisions they make.”¹⁰

Kahnemann and Tversky At approximately the same time that Howard Raiffa published his work on decision theory, two relatively unknown cognitive psychologists, Amos Tversky and Daniel Kahneman, began research on decision making under uncertainty. This work ultimately produced a very important book published in 1982 entitled *Judgment under Uncertainty: Heuristics and Biases*.¹¹

In an interview conducted by a publication called Current Contents of ISI in April 1983, Tversky and Kahneman discussed their findings with respect to mainstream investors’ thinking:

*The research was sparked by the realization that intuitive predictions and judgments under uncertainty do not follow the laws of probability or the principles of statistics. These hypotheses were formulated very early in conversations between us, but it took many years of research and thousands of subject hours to study the role of representativeness, availability, and anchoring, and to explore the biases to which they are prone. The approach to the study of judgment that is reflected in the paper is characterized by (1) a comparison of intuitive judgment to normative principles of probability and statistics, (2) a search for heuristics of judgment and the biases to which they are prone, and (3) an attempt to explore the theoretical and practical implications of the discrepancy between the psychology of judgment and the theory of rational belief.*¹²

Essentially, Tversky and Kahneman brought to light the incidence, causes, and effects of human error in economic reasoning. Building on the success of their 1974 paper, the two researchers published in 1979 what is now considered the seminal work in behavioral finance: “Prospect Theory: An Analysis of Decision under Risk.” The following is the abstract of the paper.

This paper presents a critique of expected utility theory as a descriptive model of decision making under risk, and develops an alternative model, called prospect theory. Choices among risky prospects exhibit several pervasive effects that are inconsistent with the basic